

# Two categories of inequality

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There are two kinds of inequality, and telling them apart is the whole game. Confuse them and you will either blame people for outcomes nobody chose, or excuse a rigged system as if it were weather. Most real inequality is a mix of the two, but they have different causes, different moral weight, and different cures, so it pays to pull them apart.

## Emergent inequality

**Emergent inequality** is the gap that opens from fair-looking rules, with nobody intending it. Start everyone equal, hand them symmetric rules, run the system long enough, and you still get an oligarchy. Nobody cheats; the maths just favours someone.

Some games are rigged in a way no player can see. In the yard-sale model, two people repeatedly stake a fixed fraction of the *poorer* one's wealth on a fair coin: every bet is even, yet one player ends up with everything, because the same stake is ruin for the poor and pocket change for the rich. Multiplicative luck bites the same way: a 50% loss then a 50% gain leaves you at 75%, so a run of fair odds drifts the typical fortune toward zero even as the average climbs.

Small advantages compound. Money makes money: a fixed return turns any head-start into an exponential lead. A child who reads a little better at five gets more books and more praise, and by ten is years ahead. Attention flows to whoever already has it: links, citations, and followers all follow power laws, so a few hubs run away with the traffic, not because they are best but because they arrived first.

And accidents harden into structure. Where your parents lived fixes your school, your peers, the air you breathe, and the network that will hire you: none of it chosen. A neighbourhood's rent creeps up, then crosses a line past which the people who gave it its character can no longer stay. The same recession that costs an investor a few years costs a worker their home. None of this was designed. All of it compounds.

## Adversarial inequality

**Adversarial inequality** is the gap that specific, identifiable people open and defend because they profit from it. Here there are names, budgets, and lawyers. Where emergent inequality has a mechanism, this has a beneficiary: someone you can point at.

It works by **extraction**: taking a cut without adding anything. Landlords bank the value a neighbourhood's improvement creates; patent trolls sue instead of building; publishers lock publicly funded research behind paywalls they paid nothing to fill. The move is to sit between people and what they need, and charge for passage.

It works by **capture**: getting hold of the rules themselves. Industries staff the agencies meant to police them and end up drafting the regulations; district lines get drawn so elections are settled before anyone votes; the wealthy fund the lobbying that carves the tax loopholes only they can afford to use. The people the rules were meant to constrain become the people who write them.

It works by **suppression and enclosure**: shrinking what others hold. Employers keep wages down with non-competes and union-busting. Commons that were shared (land, water, knowledge, seed) get fenced off and rented back. Debt is structured so the borrower can never quite leave. Profit is kept; the harm is exported to poor neighbourhoods, offshore factories, the next generation.

And over all of it sits **narrative control**: the work of making the arrangement look natural, deserved, inevitable. Think tanks, owned media, and a curated vocabulary (“job creators”, “trickle-down”) exist so that the people the system fails will explain it to themselves as the way things simply have to be.

## So what

In practice the two feed each other. Emergent dynamics open the gap; whoever lands on top then spends the winnings keeping it open: buying the think tanks, capturing the regulators, writing the rules. The emergence may be blameless. The maintenance almost never is.

The distinction matters because it kills a favourite excuse: *this is just what happens when free people get on with their lives, so nobody’s to blame and there’s nothing to be done*. Half true. Much inequality does arrive unintended, but a process can be innocent at the start and ugly at the end, and the sane response is to change the process, not to admire how cleverly it works. The other half is plainer once you look: rent-seekers, captured regulators, and paid-for stories are not accidents. They are load-bearing. They are how the structure stays upright.

The fix has one shape in both halves, even where the targets differ. Where the dynamics push the wrong way, build rules that push back: cap the runaway, tax the compounding, raise the floor. Where people have built machinery to stop you, confront it and take it apart. Neither is easy; neither is mysterious.

Inequality is a choice. It can be unchosen. The main thing keeping it in place is the belief that it can’t be.